

Subject Description Form

Subject Code	AF4338
Subject Title	ESG Investing
Credit Value	3
Level	4
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Business Finance (AF3313)
Objectives	This subject aims to introduce the environmental, social and governance (ESG) topics in investment. The subject will equip students with the ability to utilize pertinent knowledge and skills to understand different ESG investment approaches and strategies. The subject will help students to develop an understanding of ESG integration, how ESG will be embedded in the investment process and the influence of ESG factors on financial performance.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Define ESG components and identify the distinctions between key ESG definitions. - Describe the fundamental driving forces and barriers of ESG investing. - Explain how investors may consider the relationship between ESG performance, corporate financial performance, and market valuations. - Differentiate among various ESG investment strategies and explore recent developments in various global markets. - Develop understanding of ESG reporting, including the sources and applications of diverse data used in ESG reporting.
Subject Synopsis/ Indicative Syllabus	A. Defining Environment, Social and Governance (ESG) Concepts – Key elements, aspects and differences of ESG issues and why are they important. B. Recent Developments in Global ESG Investing – Explore the market forces and barriers to ESG-driven investing, including the regulatory framework, corporate approaches and empirical evidence on ESG and performance. C. ESG Integration in Investment Analysis and Financial Valuation – Identification of ESG value drivers from investors perspective, ESG consideration in valuation models, and ESG integration among various asset classes (e.g., equities and fixed income). D. ESG-based Investment Approaches and Strategies - Negative/Exclusionary Screening, Positive/Best-in-Class Screening, Impact Investing and investment in Sustainable finance-ESG related products (e.g., green bonds, social bonds and ESG mutual funds). E. Introduction to ESG Reporting – Materiality Assessment, Stakeholder Engagement, Reporting Frameworks and Standards (e.g., GRI, SASB and UNGC/SDGs), third-party Assurance and Verification.

Teaching/Learning Methodology	The three hours of seminar per week will be used flexibly by the lecturer for discussing key concepts and their applications with students and carrying out other learning activities with them. To maximize benefits, students are encouraged to share their views and experiences actively with their lecturers and other classmates.							
Assessment Methods in Alignment with Intended Learning Outcomes								
	Specific assessment methods/tasks	% weighting						
			a	b	c	d	e	
	Continuous Assessment	50%						
	1. Midterm test	20 %	√	√	√	√	√	
	2. Class participation	10 %	√	√	√	√	√	
	3. Individual assignment	20 %	√	√	√	√	√	
	Final Project	50 %	√	√	√	√	√	
	Total	100 %						
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Mis term test acts as a targeted assessment method to holistically evaluate the course’s intended learning outcomes. The test enables students to demonstrate their ability to recall key course concepts accurately, analyze ESG investing scenarios logically, and present concise, evidence-based responses (across multiple-choice, computational, and short-essay question types). Class participation is a fundamental approach to effectively evaluate the intended learning outcomes (a) to (e) by fostering active engagement and providing timely feedback. Participation stimulates critical thinking and facilitates interaction with the instructor. This engagement encourages students to articulate their ideas, challenge assumptions, and explore diverse perspectives, fostering a dynamic learning environment. Individual assignment is a summative evaluation approach that effectively assesses the intended learning outcomes (a) to (e) by requiring students to demonstrate critical thinking, analytical skills, and application of theoretical concepts. This method encourages independent research and personal reflection, ensuring that students can independently articulate their understanding and apply ESG knowledge in a practical setting. Final project is a comprehensive method that holistically evaluates the intended learning outcomes (a) to (e) by requiring students to integrate theoretical concepts with practical applications efficiently and effectively. By working independently, students demonstrate their ability to synthesize information, develop innovative solutions, and effectively communicate their findings. The method not only assesses their understanding of the material but also fosters essential skills such as problem-solving, time management, and self-directed learning.							
Student Study Effort Expected	Class contact:							
	▪ Seminars				39 Hrs.			
	Other student study effort:							
	▪ Self-study & group discussion				81 Hrs.			

	Total student study effort	120 Hrs.
Reading List and References	Textbook Edmans, A. (2021). <i>Grow the pie: How great companies deliver both purpose and profit—updated and revised</i>. Cambridge University Press. Certificate in ESG Investing Curriculum: ESG Investing Official Training Manual References Schoenmaker, D., & Schramade, W. (2018). <i>Principles of sustainable finance</i>. Oxford University Press. Spitz, K., Trudinger, J., & Orr, M. (2022). <i>Environmental Social Governance: managing risk and expectations</i>. CRC Press. Baldauf, M., Garlappi, L., & Yannelis, C. (2020). Does climate change affect real estate prices? Only if you believe in it. <i>The Review of Financial Studies</i>, 33(3), 1256-1295. Dhaliwal, D. S., Li, O. Z., Tsang, A., & Yang, Y. G. (2011). Voluntary nonfinancial disclosure and the cost of equity capital: The initiation of corporate social responsibility reporting. <i>The accounting review</i>, 86(1), 59-100. Useful Websites https://www.cfainstitute.org/en/programs/esg-investing https://effas.com/professional-certificates/effas-certified-esg-analyst/ https://www.sustainalytics.com/ https://www.icmagroup.org/sustainable-finance/the-principles-guidelines-and-handbooks/green-bond-principles-gbp/	